

GLOBAL WEEK IN REVIEW

Everything that mattered this week.

Week ending Friday 21 August 2026, US close. All times GMT+8.

The weekend companion to the Daily Need to Know.

Weekly market snapshot

Levels are Friday 21 Aug close; weekly move vs the prior Friday (14 Aug) close.

Instrument	Fri close	Week	Note
S&P 500	7,674.37	-1.4%	Friday +0.4% bounce, but a down week; Jackson Hole jitters + tech drag
Nasdaq Composite	26,180.45	-2.1%	Growth/tech led the fade into next week's Nvidia print
Dow Jones	53,277.01	-0.8%	Relative winner; value, financials and health bid
US 10Y yield	4.74%	+6 bp	Treasury-buyback relief faded; supply & inflation angst into JH
US 2Y yield	4.24%	+7 bp	Front end repriced a touch more hawkish; hike risk lingers
Dollar (DXY)	~98.7	~-1%	Dollar sank post-buyback; roughly -2.4% month-to-date*
Gold	\$4,680.6	+5.5%	Fifth straight weekly gain; central-bank buying, debasement bid
Silver	\$69.53	+6.8%	Outran gold; monetary + industrial demand
Brent crude	\$94.39	+6.6%	Strait of Hormuz supply shock
WTI crude	~\$86.5	~+5%	Second straight weekly gain on Iran/Hormuz*
Bitcoin	\$78,309	+24.4%	Short squeeze + buyback liquidity + CLARITY Act push

*DXY and WTI are web-sourced approximations (feed access limited); verify live before acting. Index/rate/metals/crypto levels are from the market-data feed.

VIX closed **15.1** (from 14.3 the prior Friday), with an intraweek spike near 16 — still a low-vol tape despite the risk-asset chop.

TL;DR

A hard-asset week wrapped in a soft-equity tape. Scott Bessent's move to double the Treasury's long-end buybacks lit a fuse: the dollar sank, gold (+5.5%), silver (+6.8%), oil (Brent +6.6%) and above all Bitcoin (+24%) ripped, while the S&P (-1.4%) and Nasdaq (-2.1%) drifted lower into a Nvidia print (26 Aug) and Kevin Warsh's Jackson Hole debut (28 Aug). Long yields still crept up (10Y 4.74%) even as debasement trades screamed — the market is buying scarcity and selling duration at the same time.

The big picture — what the week meant

1. The buyback bazooka reset the whole tape

On 19 Aug, Treasury Secretary Bessent said the Treasury would at least double its long-end buybacks (10Y–30Y) from a ~\$2bn cap toward \$4bn+, an explicit move to pull multi-year-high borrowing costs down. Yields dropped, then round-tripped by Thursday — but the dollar stayed down and every debasement asset caught a bid.

Read: This is fiscal-dominance price action: when the sovereign signals it will manage its own curve, hold gold, silver, miners and Bitcoin as the release valve. The equity index is the wrong instrument to express it.

2. Bitcoin's 24% squeeze was the week's loudest signal

BTC ran from ~\$63k to ~\$79.5k — its biggest surge since March — as **>\$2.7bn of shorts were liquidated**, helped by the buyback liquidity impulse, a White House digital-assets meeting, Trump's push for the CLARITY Act, and pointed comments from Bessent. Ether jumped as much as 12% on the biggest day.

Read: A liquidation-fuelled vertical move is real demand meeting no supply, but it is also fragile. Respect the trend, size for a 15–20% air-pocket, and treat \$80k as the line traders are defending.

3. Gold's fifth straight weekly gain is structural, not a trade

Gold notched a **fifth consecutive weekly advance** to ~\$4,681, with silver outrunning it. The macro engine: record central-bank buying (Q2 official purchases ~288.9t, +62% y/y), a softening dollar and July CPI at 3.4% keeping real-rate math friendly to non-yielders.

Read: Own the metals as ballast, not as a tactical punt. The buyer of size here is not a momentum fund — it is central banks, and they don't ring the register on a 5% pop.

4. Equities went sideways-to-down, and leadership narrowed

The S&P slipped 1.4% and the Nasdaq 2.1%, with tech, REITs and utilities the laggards as long yields firmed. The offset was defensives and value: **healthcare had its best week since late June** after Moderna and Merck reported a successful late-stage mRNA trial, and financials led Friday.

Read: A market that sells its generals (mega-cap tech) into a marquee earnings print while bidding pharma and banks is de-risking, not capitulating. Rotation, not liquidation.

5. The oil bid is a geopolitics tax, not a demand boom

Brent +6.6% and WTI +~5% on a **second straight weekly gain**, driven entirely by the ongoing Strait of Hormuz crisis — Iran has effectively throttled the strait since February, and reopening talks (Iran–Oman) remained unresolved into the weekend.

Read: Higher oil here is a supply-shock cost, not a growth signal — stagflationary at the margin. It lifts energy revenues but taxes the consumer and complicates the Fed. Keep energy exposure but pair it with the health/staples ballast.

6. All eyes shift to Jackson Hole and Nvidia

The tape spent the week de-risking ahead of two events: **Nvidia's Q2 FY27 report on 26 Aug** and **Kevin Warsh's first Jackson Hole keynote as Fed Chair on 28 Aug** (symposium 27–29 Aug, theme 'Financial Innovation: Implications for Payments and Policy'). Warsh has signalled structural, not near-term, remarks — and independence from what markets are pricing.

Read: Two binary catalysts land inside four sessions. Carry less gross into them than you'd like to; the debasement basket is the cleaner way to stay long risk without single-stock or single-speech headline exposure.

Rates, currencies & commodities

Rates & credit

The 10Y ended at **4.74%** (+6 bp on the week) and the 2Y at **4.24%** (+7 bp). The buyback headline knocked yields lower midweek before the move faded — the long end (20Y 5.25%, 30Y 5.27%) stayed sticky, reflecting supply and an inflation term-premium the buyback can cap but not erase. The 2s10s stayed modestly positive (~+50 bp). Vol was contained; credit spreads (HY/IG) showed no stress, consistent with a rotation rather than a scare.

Currencies

The dollar was the week's clear loser. DXY slid to ~**98.7** (roughly -1% on the week, ~-2.4% MTD) as EUR/USD pushed up to **1.1677** (+0.9%) and USD/JPY eased to **158.97** (yen firmer). A softer dollar was both cause and consequence of the metals/crypto surge — the buyback signal read as debasement, and FX agreed.

Commodities

Precious metals led (gold +5.5% to \$4,681; silver +6.8% to \$69.53). Energy was the geopolitics story: Brent +6.6% to \$94.39, WTI +~5% to ~\$86.5, both on Hormuz. The through-line: hard assets up across the board, financial assets mixed — a textbook debasement-plus-supply-shock configuration.

Hedgeye risk ranges & regime

Regime read: Hedgeye's published 2026 process moved Quad 3 → Quad 2 → and the Hormuz supply shock has been reasserting stagflationary Quad 3 dynamics (inflation sticky/re-accelerating, growth slowing, Fed on hold or forced to consider hikes). Their framework flags that the 10Y's 3-month correlation to the S&P has turned negative — i.e. rising yields are now a headwind for equities, exactly what this week showed.

Where we sit: This week's price action — hard assets bid, long duration and rate-sensitive equities sold, dollar down — is the cleanest expression of a Quad 3 tilt with a debasement overlay. In Hedgeye's language, the Signal is favouring gold, energy and (increasingly) Bitcoin over the long-duration equity complex.

The immediate-term risk ranges below are **indicative levels derived from this week's price and realised volatility, not official Hedgeye Risk Range™ numbers** — the live Hedgeye table could not be verified for today's date. Treat as directional; verify on Hedgeye before acting.

Instrument	Indicative range*	Fri close	TREND*
S&P 500	7,560 – 7,800	7,674	Bearish
Nasdaq Comp	25,700 – 26,850	26,180	Bearish
US 10Y yield	4.60% – 4.80%	4.74%	Bullish (yield)
Gold	\$4,420 – \$4,760	\$4,681	Bullish
Silver	\$63.5 – \$70.5	\$69.53	Bullish
Brent	\$88 – \$96	\$94.39	Bullish
Bitcoin	\$64,000 – \$81,000	\$78,309	Bullish

*Indicative only — not official Hedgeye levels. Sources: Hedgeye published macro commentary (2Q26 themes; 'Flation Now, Stag-On-A-Lag'; monthly Quads).

Mag7 scoreboard

Market caps are from the data feed as of 21 Aug. Per-name weekly % and P/E could not be confirmed via the (premium-gated) quote feed and are marked — ; verify live.

Company	Mkt cap	Week	P/E	Read
Nvidia (NVDA)	\$5.20T	—	—	World's largest cap; all eyes on 26 Aug Q2 (guide ~\$91bn, St ~\$93–95bn, +~70% y/y)
Apple (AAPL)	\$4.54T	—	—	The 'no-capex' AI alt-trade; +~23% YTD, but lagged the cloud names this cycle
Alphabet (GOOGL)	\$4.17T	—	—	Cloud strength kept it a leader into August; ad + Gemini momentum
Microsoft (MSFT)	\$3.59T	—	—	Azure growth the standout; added ~\$600bn cap in late-July run
Amazon (AMZN)	\$2.78T	—	—	AWS reacceleration the driver; retail margin the

Company	Mkt cap	Week	P/E	Read
				swing factor
Tesla (TSLA)	\$1.43T	—	—	Narrative name; energy + autonomy optionality, autos soft
Meta (META)	\$1.40T	—	—	Valuation slipped this cycle; capex intensity under scrutiny

Leadership read: The complex went into the week soft and narrowing — the cloud trio (MSFT/AMZN/GOOGL) has carried recent leadership while Apple and Meta lagged, and the whole cohort de-risked ahead of Nvidia. With Nvidia now ~\$5.2T and the single most important print of the quarter due 26 Aug, index direction for the back half of August is effectively hostage to one report and one speech. The tell to watch: whether a Nvidia beat can pull the group up against a rising-yield backdrop, or whether 'sell the generals' persists.

Positioning & options

VIX held a low 14–16 band all week, closing **15.1** — a market that is rotating, not panicking. Realised vol in single stocks (crypto-levered names, miners, energy) ran far hotter than the index, a classic sign of dispersion under a calm surface. Credit gave no warning: HY and IG spreads were stable with no widening into the equity softness, and the buyback signal is, if anything, spread-supportive at the long end.

Net read: Low index vol + stable credit + violent commodity/crypto moves = express risk through the debasement basket and dispersion, not through naked index beta. If you want equity upside into Nvidia, define it with options rather than paying up for spot into a binary.

Sector rotation — leaders & laggards

Leaders (week): Healthcare (best week since 26 June on the Moderna/Merck mRNA trial win), Financials, and value/defensive Consumer names. On Friday specifically, Financials (+1.2%) and Healthcare (+1.0%) led the tape.

Laggards (week): Technology, plus the rate-sensitive corners — Real Estate (-2.4% Friday) and Utilities (-2.0% Friday) were hit hardest as long yields firmed. Energy was mixed: the commodity ripped but energy equities gave back ground on Friday.

Read: Leadership is rotating out of long-duration growth and rate-sensitives into cash-flow value (health, financials) and hard-asset cyclicals (energy). That is the equity market agreeing with the Quad 3 / debasement message from bonds and commodities. Favour the barbell: real assets + quality value, underweight the rate-sensitive long-duration book.

Sector detail is Friday 21 Aug (NASDAQ-listed average change); weekly rotation is corroborated by the healthcare 'best week since June' read.

Corporate news — the week's key events

- **Moderna / Merck** — reported a successful late-stage (Phase 3) mRNA trial, driving healthcare to its best week since late June.
- **Nvidia** — Q2 FY27 earnings set for 26 Aug (after the close, ~5:00pm ET); management guided ~\$91bn revenue vs Street ~\$93–95bn, ~+70% y/y. The quarter's marquee catalyst.
- **Cloud complex** — Microsoft, Amazon and Alphabet added ~\$1.5tn of combined value in the late-July earnings run on strong cloud growth; that leadership carried into August even as the tape softened.
- **Crypto / policy** — a White House digital-assets meeting, Trump's push for the CLARITY Act, and Bessent's comments underpinned the Bitcoin squeeze; >\$2.7bn of shorts liquidated.

- **Apple** — continued to trade as the 'AI without the capex bill' alternative, +~23% YTD, though it lagged the cloud names this cycle.

Macro data — the week's key releases

United States

July CPI (released 12 Aug, framing the week): +0.1% m/m, **3.4% y/y** (down from 3.5%); core +0.2% m/m, 2.5% y/y. Energy -1.5% m/m but +14.7% y/y (gasoline +24.6% y/y).

Net: Headline is cooling but the energy base effect and the fresh oil shock keep the inflation fight unfinished — supportive of gold, awkward for the 'hikes are done' camp.

July retail sales -0.6%, the sharpest drop since May 2025 and well below the +0.1% consensus. Housing starts/permits and industrial production (18 Aug) were secondary; initial jobless claims (20 Aug) pointed to a still-resilient labour market; July FOMC minutes were parsed for the hike/hold debate.

Net: Consumer softening + resilient labour + sticky-ish inflation = the stagflation-lite mix. It gives Warsh cover to stay data-dependent and non-committal at Jackson Hole.

Rates expectations

Post-data, some desks trimmed September hike odds toward ~32%; prediction markets were more hawkish, with Polymarket/Kalshi readings clustering 45–57% for a 25 bp hike vs ~42–51% for no change into the 16 Sept FOMC. The dispersion itself is the story: this is a market genuinely unsure whether the next Fed move is a hike or a hold.

Net: A live two-sided Fed with an oil shock is a volatility engine. Keep optionality; don't marry a single rate path.

Geopolitics

- **Strait of Hormuz crisis** — the dominant driver of oil. Iran has effectively throttled the strait since February; Trump posted an image labelling it 'New US Territory', while Iran–Oman talks toward a management agreement were reported as close but unresolved into the weekend.
- **Ukraine–Russia** — Ukraine expanded strikes further into Russia; a European government document alleged Russia is shipping drone components, ammunition and TNT to Iran via the Caspian.
- **Regional realignment** — a Saudi–Turkey–Pakistan mutual-defence pact (signed 7 Aug) drew White House praise as an 'important first step', a notable Middle East security shift.
- **Prediction markets** — beyond the Fed, Polymarket's August WTI event and Fed-decision markets were the most actively traded macro contracts; the Fed September market's hawkish tilt (~45–57% hike) is the number to watch.

Read: *The geopolitical map is an oil-price floor and a gold tailwind. As long as Hormuz is contested, fade dips in energy and keep a structural metals allocation; the risk to that view is a sudden Iran–Oman deal that reopens the strait and knocks \$5–10 off crude overnight.*

Beyond the markets — also worth knowing

Summits, conferences & talks

- **Jackson Hole Economic Policy Symposium** — 27–29 Aug, Kansas City Fed, theme 'Financial Innovation: Implications for Payments and Policy'. Chair Kevin Warsh's keynote (Fri 28 Aug) is his first as Fed Chair, 19 days before the 16 Sept FOMC.

Science & frontier research

- **'Black-hole star'** — a Nature study described an early, rapidly-growing black hole cocooned in dense gas, a possible answer to how billion-solar-mass black holes formed so soon after the Big Bang.
- **Early-universe 'little red dots'** — astronomers found a clue to their fate via a spiral galaxy nicknamed 'Saguro'.

Space & frontier tech

- **New instruments** — the MOTHRA telescope in Chile imaged the Helix Nebula, revealing 22 glowing shock waves; JWST captured NGC 2392 (the 'Lion/Eskimo Nebula').

Weather & climate

- **Watch item** — no single market-moving weather event was confirmed this week, but late August is Atlantic-hurricane peak season; a Gulf storm remains the key tail risk for the energy complex on top of Hormuz. (Flagged as a watch, not a confirmed event.)

Water cooler

- **Baseball** — the Brewers matched the modern-era record for the biggest shutout, thumping the Mariners 22-0 (18 Aug).
- **WNBA** — the Golden State Valkyries clinched a playoff berth for a second straight season, beating the Dallas Wings 78-70.
- **Tennis** — Alexandra Eala (world No. 20) advanced at the WTA 1000 Cincinnati Open.

Appendix — stock cards

Compact cards for the names materially discussed above. Market caps (21 Aug) are from the data feed; price, P/E, dividend and 52-week fields marked 'verify live' could not be confirmed via the available (premium-gated) feed. Do not trade off these without a live quote.

Nvidia (NVDA)

Market cap	\$5.20T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Q2 FY27 earnings 26 Aug (after close)
6-month trend	Broadly the AI-cycle leader; rebuilt to record highs through 2026 after spring volatility. Into the print, the stock de-risked with the tape (verify live).
Read	The single most important catalyst of the quarter. A beat + clean guide can drag the whole index up; a soft data-center number against 4.7% yields is the bear case.

Apple (AAPL)

Market cap	\$4.54T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: FQ4 (Oct)
6-month trend	Steady grinder, ~+23% YTD; treated as the 'AI without the capex bill' alternative. Underperformed the cloud trio this cycle.
Read	Defensive mega-cap ballast; lower AI-spend risk but also lower AI-upside optionality.

Alphabet (GOOGL)

Market cap	\$4.17T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: Q3 (late Oct)
6-month trend	A 2026 leader on cloud + Gemini momentum; part of the trio that added ~\$1.5tn in late July.
Read	Cleanest large-cap AI + cash-flow combination; watch cloud growth and capex guide.

Microsoft (MSFT)

Market cap	\$3.59T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: FQ1 (late Oct)
6-month trend	Azure the standout; added ~\$600bn cap in the late-July run. Leadership name into August.
Read	Quality compounder; the AI-infrastructure toll-road. Capex intensity is the swing factor.

Amazon (AMZN)

Market cap	\$2.78T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: Q3 (late Oct)
6-month trend	AWS reacceleration drove the late-July surge; retail margin the second lever.
Read	Cloud + margin story intact; consumer-softness (retail sales -0.6%) is the watch item.

Tesla (TSLA)

Market cap	\$1.43T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: Q3 (mid-Oct)

6-month trend	High-beta narrative name; energy and autonomy optionality against soft auto volumes.
Read	Trade it as an option on autonomy/energy, not on current auto fundamentals.

Meta (META)

Market cap	\$1.40T
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: Q3 (late Oct)
6-month trend	Lagged this cycle; market scrutinising the pace of AI capex vs ad-revenue payback.
Read	Cheapest of the mega-caps on cap; re-rates if capex discipline + ad strength both show.

Moderna (MRNA)

Market cap	verify live
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Phase 3 mRNA readout (this week)
6-month trend	Beaten-down vaccine name; the positive late-stage mRNA trial with Merck was the week's healthcare catalyst.
Read	Binary pipeline story; the trial win is a genuine positive but position sizing should respect volatility.

Merck (MRK)

Market cap	verify live
Valuation	P/E, dividend, 52-wk range: verify live
Key date	Next: Q3 (late Oct)
6-month trend	Large-cap pharma; the mRNA trial success added to a strong healthcare week.
Read	Quality defensive with a fresh pipeline catalyst; core of the 'value + health' barbell.

Sources & disclaimer

Market data: market-data feed (S&P/Nasdaq/Dow, US Treasury rates, gold, silver, Brent, Bitcoin, VIX, Mag7 market caps). **News & context:** CNBC, Reuters/iTiger, TheStreet, Bloomberg, Forbes, The National, Vantage Markets, Horizon Investments, BLS, NBC News, Quartz, Fox Business, Kiplinger, Cary Street Partners, Penn Mutual AM, Daily Caller, CNN, Wikipedia, Congress.gov, Just Security, Polymarket, Kalshi, OddsShopper, DeFiRate, Hedgeye (published macro commentary), GoldSilver, note.com, Regards of Wall Street, ScienceDaily/SciTechDaily/Nature, ESPN/Yahoo Sports.

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Hedgeye risk ranges shown are indicative (derived) not official; DXY and WTI levels are web-sourced approximations. Per-name Mag7 price/%P/E and some appendix valuation fields could not be verified via the available feed and are flagged accordingly.